

Calendar Line 7

Case Name: *Christian Humanitarian Aid, Inc. v. AM Star Construction, Inc. et al.*

Case No.: 22CV396170

Plaintiff Christian Humanitarian Aid, Inc. (“CHA”) brings the present motion to release or reduce the mechanic’s lien in this case, under *Lambert v. Superior Court* (1991) 228 Cal.App.3d 383, 388. CHA argues that defendant AM Star Construction, Inc.’s (“AMS’s”) lien was both untimely and that it “willfully included un-lienable consequential damages.”⁴ The court finds that the lien was untimely and therefore must be released.

CHA contends that AMS, the general contractor on the construction project at issue, stopped all work on the project on October 21, 2020. AMS contends that it stopped all work slightly later, on November 30, 2020. For purposes of this motion, CHA “conservatively” takes the latter date and then argues that because there was no work performed on the project “for a continuous period of 60 days” from November 30, 2020 to January 29, 2021, AMS had 90 days from January 29, 2021 to record its mechanics lien under Civil Code section 8412—*i.e.*, until April 29, 2021.⁵ Here, AMS did not record its lien until June 1, 2021, which was more than a month after the statutory deadline.

AMS opposes CHA’s timeliness argument by disputing the factual predicate: even though AMS admitted in a verified RFA response that it “did not perform any work at the PROJECT after November 30, 2020” (Response to Request for Admission No. 15 (Declaration of Kaveh Badiie, Exhibit D)), it claims that *other* parties continued to work on the project from December 2020 to May 2021, and so “there was no continuous 60-day cessation of work during any part of the [relevant] period.” (Opposition, p. 2:5-21.) AMS supports its opposition with two declarations: (1) a declaration of Michael Achkar, AMS’s President, who says that he “observed labor and work being performed by construction workers, observed building materials being transported into the Property’s building by construction workers, and/or observed piles of construction debris generated by construction activities performed during said time period” (Achkar Declaration, ¶ 4.d); and (2) a declaration of Lucie Michail, an attendee of church mass at CHA, who “personally observed the progress of ongoing work at the first floor areas and second floor areas of the Property’s building where AMS had performed its work” (Michail Declaration, ¶ 7.c).

The court finds this to be a very odd argument by AMS. The court has been given no legal authority to support the proposition that even if a lien claimant admittedly stops all work on a construction project, the deadline under Civil Code section 8180, subdivision (a)(3), does not start to run as long as *someone else* works on the project within six months. This interpretation of the statutory scheme seems to run counter to the very purpose of Civil Code sections 8180 and 8412, which are designed to set reasonable time limits on a party’s ability to bring a mechanics lien claim. While it may well be the case that the period continues to run

⁴ CHA also argues that AMS over-valued its work under Civil Code section 8430, subdivision (a): “(a) The lien is a direct lien for the lesser of the following amounts: [¶] (1) The reasonable value of the work provided by the claimant. [¶] (2) The price agreed to by the claimant and the person that contracted for the work.”

⁵ Under Civil Code section 8412, a direct contractor “may not enforce a lien unless [it] records a claim of lien after [it] completes the direct contract, and before the earlier of the following times: (a) Ninety days after completion of the work of improvement” Under Civil Code section 8180, “completion” can include: “(a)(3) Cessation of labor for a continuous period of 60 days.”

while a *subcontractor* who was hired to work under the direction of the lien claimant (the direct contractor) is still doing work, there is no evidence here that that is the case—indeed, neither of AMS’s declarants (Achkar and Michail) appears to have any personal knowledge of *who* was allegedly still working on the project or *what work* they were doing. Under AMS’s interpretation, if a lien claimant completely abandons a construction project—as is alleged here by CHA—it does not have to act promptly as long as the owner of the project hires someone else to pick up the slack within six months. The court has been given no support for this legal argument and therefore cannot accept it.⁶

Having found that the lien was not timely and must be released, the court declines to address CHA’s alternative arguments that AMS “willfully” included consequential damages in the amount of its lien, or that AMS over-valued the lien under Civil Code section 8430.

The motion is GRANTED.

- oo0oo -

⁶ The court also finds AMS’s evidence – the Achkar and Michail declarations – to be highly insubstantial. As noted above, there is no indication that either declarant has any direct, personal knowledge of what was happening on the property between December 2020 and May 2021, other than what they purportedly observed in passing, presumably from a distance. No specific dates are provided, no details are given as to what particular “labor and work” was being performed (other than the “transport” of materials), and no information is provided as to *who* was allegedly performing any of this work. Nevertheless, the court will not weigh the evidence and will simply accept it for what it is for the purpose of this motion.